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Recessions Aren't What They Used to Be—And Neither Is the Economy

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This morning, I watched the Knicks game highlights on my phone, had a video chat with my daughter, searched for a new bakery using online reviews, navigated there via Google Maps while listening to a podcast, and paid for my order with my phone—then walked home, connected and uninterrupted. On that walk, I had to sidestep a DoorDash driver speeding past to deliver someone else's bagel, a reminder that even the most mundane moments now intersect with the app-based economy. In 2007, none of this was possible. Over the past few weeks, in my new role focused on how AI is reshaping the future of investing and macroeconomics—particularly in light of recent tariff policy—I've been asked repeatedly whether I think a recession is coming. My answer has been consistent: the term "recession," as defined over the past hundred years, no longer applies in the modern economy. Every time I say this, I can see the look I get—like I'm trying to be provocative. But provocation is a two-way street. What seems provocative to one person may simply be clarity in motion. Sometimes it's not the speaker creating controversy—it's the listener refusing to update an outdated frame of reference.

That refusal is the real provocation. And it's why I bring up my morning: not to prove a point, but to show that everything—from how we work to how we consume—has changed dramatically since the iPhone. This disconnect is especially timely as people cite charts showing tariff levels going back to the 1800s as evidence of an imminent recession. We're literally referencing data from a time before lightbulbs to explain today's service- and software-based economy. Meanwhile, economists bounce from 40% recession probability one day to 100% the next—then back to 30% after a market rally or social media thread. This reactionary response with random percentage changes shows just how much the economy has changed. The tools, platforms, and behaviors that shaped my morning didn't exist in the last cycle. And just as our daily lives have transformed, so too has the economy—quietly, structurally, and profoundly. Yet the language and models we use to talk about recessions haven't kept up. What we're witnessing isn't just a cycle. It's a shift in the entire distribution. And unless we update our priors, we'll keep asking the wrong questions about the wrong recessions.

Of course, a recession *could* still happen—but only if the government decides it wants one. With government debt-to-GDP at 120%, a fiscal deficit nearing 7%, entitlements locked in for decades, and a Federal Reserve that can roll out new four-letter liquidity facilities at the first hint of stress, today's economy is structurally resistant to old-school downturns. Policymakers have both the tools and the political incentives to avoid letting the system truly contract. A classic recession would now require intentional decisions to restrict credit, slash spending, or allow risk to play out unchecked—none of which align with current incentives or the financial health of the government. In a world so deeply financialized and politically sensitive, recession isn't an economic inevitability. It's a policy choice.

For most of the 20th century, recessions followed a reliable script. Demand would fall, GDP would contract, and unemployment would rise. Heavy industries like manufacturing and construction bore the brunt, laying off workers en masse, and sending ripple effects through communities and credit markets. This was the foundation on which economists—especially those trained in elite institutions—built their intellectual careers. Their models, equations, and policy recommendations assumed that downturns meant layoffs, and that recovery began with re-hiring. It was an elegant system, made more convincing by its historical consistency. But the post-2009 world has shown that this system no longer captures the reality on the ground. We have instant information that scares consumers, businesses and governments real time before the economic contagion can accelerate. There was no Ryan Peterson sending out daily X posts with updates on the ports during the Smoot Hawley tariffs.

Joseph Schumpeter called it creative destruction—the cycle by which old industries collapse and make way for the new. That cycle is still happening. But the destruction no longer takes the form of mass unemployment. Instead, it's more like economic evolution. Workers leave old sectors and reappear not in the jobless rolls, but in side gigs, digital projects, and platform work. Simon Kuznets, the father of the GDP statistic, taught us that economies must be measured according to their structure, and that structure is no longer centered around factory floors. Alvin Toffler predicted this too—the shift from the industrial age to what he called the “Third Wave,” where individuals become information nodes, creators, and flexible workers outside traditional firms. The transition is well underway. But much of the economic profession still clings to the prior wave.

The data proves it. In 2022, the U.S. economy experienced two consecutive quarters of negative GDP growth—technically a recession by some definitions. Yet 4.5 million people were hired, the unemployment rate never rose above 4%, and job openings still outnumbered job seekers. In earlier decades, that same GDP print would have sent economists scrambling to revise up their job-loss estimates. But this time, firms hoarded workers, retirees exited quietly, and the gig economy absorbed displaced labor in real time. There were slowdowns, to be sure. But there was no panic, no deep unemployment spike, no Great Recession replay. Instead, it was a slow drip—an adjustment absorbed across hours, projects, and platforms, not pink slips and unemployment lines.

The resilience wasn't accidental. It came from structural change: baby boomers retiring en masse, healthcare and services becoming the largest employers, digital platforms enabling instant income, and a growing share of consumption being powered by transfer payments and asset wealth. None of these things existed in the same way in 2007. In fact, many of them didn't exist at all. Today, a laid-off office worker can pick up freelance design gigs, drive for Uber, tutor online, or launch a podcast. A retiree spends Social Security income on streaming services and medical care, supporting two of the fastest-growing industries. A part-time content creator might be earning more than they did at their last full-time job. These shifts make job loss less visible—and recessions harder to measure through the old lens.

And yet, many economists—especially those trained in the ivy-covered lecture halls of Harvard, Princeton, or Chicago—struggle to adapt. It's not because they aren't brilliant. It's because their entire intellectual foundation was built on studying the past: modeling the postwar boom, testing Okun's Law, and writing dissertations on the business cycles of the 1960s, '70s, and '80s. Their models are elegant, but frozen in time. The world has moved on. It's not that these economists are wrong—they're simply using the wrong tools. As Kuznets would remind us, statistical insight must follow structural change. As Schumpeter would argue, disruption creates winners and losers. And as Toffler would say, those who cling too tightly to the last wave will drown in the next.

In Bayesian terms, it's time to update our priors. We can no longer assume that falling GDP means mass layoffs, or that low unemployment guarantees macro stability. We need to ask new questions: What does underemployment look like in the creator economy? How does income volatility affect consumption when work is flexible but fragile? And what replaces the wage cycle in a world of retiree-driven demand? If we don't recalibrate the distribution, we'll misread every signal that comes next. We'll expect 2008 and get something entirely different. The economy has changed. The way we interpret it must change too.

Still, even as these shifts redefine how recessions unfold, we continue to see headlines and research citing charts on tariffs going back to the 1800s—as if data from the age of horse-drawn carriages can explain a service-based, digital economy. Investors and economists alike obsess over lines on a page tracking tariff levels across centuries, implying that a 2025 tariff carries the same weight as one from the 1890s. It doesn't. Back then, tariffs taxed physical goods in a world without services, apps, or supply-chain flexibility. Today, the economy absorbs shocks through algorithms, energy transitions, and TikTok storefronts. Treating 19th-century trade policy data as a signal in today's economy isn't analysis—it's nostalgia.

And now, the pace of change is only accelerating. The last 17 years transformed the economy slowly and visibly—from smartphones to cloud computing to gig work. But artificial intelligence is moving faster than any of it, reshaping productivity, creativity, and the structure of employment in real time. This won't be a decade-long drift. It will be an exponential surge. And if economists struggled to update their priors over the last generation, they will find it nearly impossible to keep up with what's coming. A Bayesian framework is only as useful as the rate at which you're willing to change your beliefs. AI is moving faster than that rate. And if we're still modeling the next recession with the last generation's toolkit, we're not forecasting—we're time-traveling in reverse. Every time since the GFC that investors

became obsessed with a recession, it was a great buying opportunity. Remember that the next time you see recession fears rise to 50%!

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